

Western Life

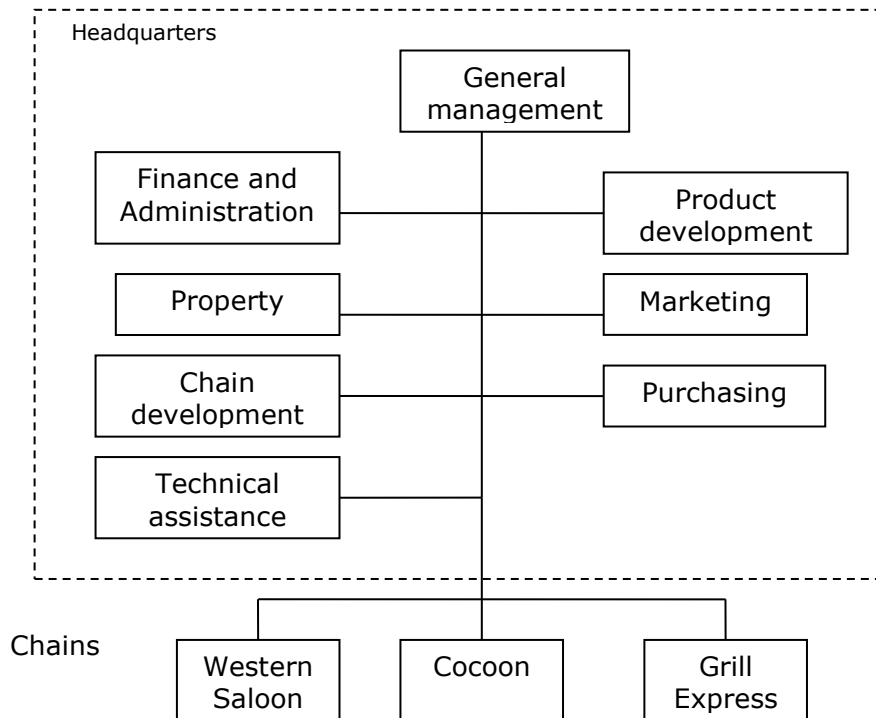
The European restaurant corporation, Western Life, was founded in the 1980s. The company decided to develop the "steak house" concept (popular in the US but not well-known in Europe at that time). Western Life is made up of three restaurant chains, each specialising in high quality grilled meat: "Western Saloon" restaurants, which make up most of the business, with a family and corporate clientele base; "Cocoon" restaurants with a more intimate setting; and "Grill Express", focusing on fast lunch service for customers in a hurry. The company owns around a hundred restaurants that it operates directly.

Western Life experienced robust growth at first, thanks to a market that was receptive to this kind of restaurant concept and the opening of numerous establishments in various European countries. In the early 20n, however, the company found itself in a tougher situation. Since the trauma of the "mad cow" crisis, customer traffic still has not returned to previous levels. Meanwhile, competition has increased, and while Western Life retains a comfortable lead in terms of market share, pressure on prices has intensified. Furthermore, the 35-hour work week has generated additional costs. Consequently, after years of unbridled growth, margins must now be more closely managed and the need for more efficient management is manifest.

Western Life's CEO, Mr André Soudan, is worried about the company's performance since pre-tax profit came in 15% below forecasts despite the fact that the sales targets were reached. He wonders if this could be due to the fact that two years ago, he took a big risk: he hired a young manager trained in modern management techniques to head up Grill Express instead of following his usual policy of promoting one of the managers who had been with the company for years, most of whom are admittedly self taught, but more familiar with the "tricks of the trade".

Mr Soudan therefore asked his controller to develop tools to make a detailed analysis of units performance within the company.

COMPANY ORGANISATION CHART



Each of the three chains has its own manager. The chain manager's role has been clearly defined as an operating position which includes ensuring high quality customer service in the restaurants (preparing and selling meals by the staff); managing staff (hiring, promotions, etc.); tracking raw materials consumption (incl. raw materials not sold to customers due to quality issues or other inefficiencies leading to waste) and the meticulous planning of supply needs based on sales forecasts.

HEADQUARTERS

The main departments located at corporate headquarters are:

Marketing

This department oversees communication for the company and the three chains. In particular, large advertising campaigns have been developed to educate the general public as to the provenance of the company's meat supply and reassure potential customers that WL food is safe.

More specific campaigns are also run when new menus or periodic special promotions are launched.

Product development

This department comes up with the various dishes, types of meals, seasonal menus, etc. to be served in the restaurants.

Property

This department manages the company's real estate. Specifically, it purchases property and negotiates building contracts for new locations. Western Life has chosen to acquire its restaurant buildings and locations itself, financing these purchases through debt.

Chain development

This department scouts for new locations and works to expand the chain.

Technical assistance

This unit supervises the restaurants' operational development and helps them sell the company's products. It is also in charge of staff training.

Purchasing and butcher centre

Created several years ago, this department centralises purchasing, especially for meat, and thus is able to obtain more advantageous prices from suppliers. Substantial discounts are received at the end of the year. In addition, the purchasing department obtained some interesting payment agreements and, therefore, also handles accounts payable for the entire organization.

Complying with regulations for tracking the origin of food supplies is also made easier with centralised purchasing. Meat is bought in France (Charolais, Limousin), and also imported from South America.

The purchasing centre also acts as a butcher centre where the meat is cut and shipped to the restaurants, which are served on demand by trucks, on average twice a week¹.

Meat inventory is very limited: at the purchasing/butcher centre, supply is managed on the just-in-time principle and the restaurants keep a few days' supply at most.

Finance and Administration

This department takes care of financing, payroll, accounting and various administrative tasks for the company.

¹ Investment in cutting machinery and trucks are managed by the purchasing centre.

Consolidated income statement 20n (€k)

Sales	87 048

Purchasing	25 939
External costs	11 181
Payroll costs	35 917
Taxes	4 243
Depreciation	5 059

Operating income	4 709
Finance costs	(920)

Pre-tax profit	3 789
Corporate tax (33 ^{1/3} %)	(1 263)

Net income	2 526

Consolidated Balance sheet 31/12/20n (€k)**ASSETS**

Fixed assets	45 090
Land	3 250
Buildings	28 530
Other ²	13 310
Current assets	3 551
Inventory ³	490
Accounts receivable ⁴	1 131
Cash	1 930

LIABILITIES

Shareholders' Equity¹	21 104
Capital	8 000
Reserves	10 578
Retained earnings	2 526
Liabilities	27 537
Long term debt ⁵	23 000
Accounts payable	2 325
Other debt	2 212

Total Assets	48 641	Total Liabilities	48 641
---------------------	---------------	--------------------------	---------------

¹ Shareholders expect an average return on their investment of around 9% per year.

² Of which: cutting machines + trucks= 2 310

³ Inventory stored at the restaurants. This amounts to 213 for Western Saloon, 179 for Cocoon and 98 for Grill Express.

⁴ Restaurant customers pay immediately, except for business clientele who are allowed on average 60 days to pay. Outstanding amounts are 542 for Western Saloon, 321 for Cocoon and 268 for Grill Express.

⁵ Loan at 4%.

Results broken down by chain

To respond to Mr Soudan's request, the controller calculated the results for each of the three chains.

	Western Saloon	Cocoon	Grill Express
Sales	56 160	24 336	6 552
Raw materials	-17 127	-7 414	-1 917
External costs	-4 658	-1 733	-860
Payroll costs	-21 345	-9 245	-2 227
Taxes	-2 808	-975	-460
Corporate costs	-8 461	-3 665	-883
	-----	-----	-----
Pre-tax profit	1 761	1 304	205

The controller is satisfied with his measurement system, since the sum of the chains' earnings matches the consolidated company earnings. In his view, this means that his management accounting is accurate.

Western Saloon	1 761	
Cocoon	1 304	
Grill Express	205	

Sum of earnings	3 270	
Internal margin (on transfer price/purchasing costs)	519	(2 593.9 t * € 0.20)

Pre-tax company profit	3 789	

The figures for each chain were calculated as follows:

Sales

The sales figure corresponds to sales charged to customers. This figure is obtained from local accounting items.

Purchasing

Since purchasing decisions are centralised, the controller considers that this department delivers a service to the chains. Consequently, he has calculated a transfer price to measure the chains' consumption:

<i>Consumption:</i>	Western Saloon	1 679.1 t
	Cocoon	726.9 t
	Grill Express	187.9 t

	Total	2 593.9 t

Transfer price:

Gross purchase price from suppliers	10.8
- Year-end rebates (1)	- 0.8
-----	-----
Net purchase price from suppliers	10
+ Purchasing department's mark-up (2)	0.2
-----	-----
Purchase price for restaurants	10.2

(1) Since year-end rebates obtained from suppliers are not known until the start of the following year, the controller billed the restaurants' purchases at the gross price (plus the 2% mark-up for the purchasing department) during the course of the year. At year-end, the reductions obtained (plus the 2% mark-up) are attributed back to the chains.

(2) The Procurement manager is not happy. To anyone who will listen, he argues that if the company is profitable, it is thanks to his unmatched skills as a negotiator. "In a company like ours, purchasing is decisive!". He therefore believes that the 2% mark-up added to the purchasing price is quite insufficient considering his effective contribution.

Corporate costs

These costs include the following (€k):

Head office salaries3 100

• General management	480
• Butchers	500
• Marketing	200
• Property	350
• Purchasing	450
• Technical assistance	390
• Chain development	250
• Product development	180
• Administration	300

Advertising3 480

• Corporate:	3 100	
• Chains:		380
o/w: Western Saloon:	240	
Cocoon:	100	
Grill Express:	40	

Depreciation5 059

• Buildings and equipment:	4 420	
o/w: Western Saloon:	3 211	
Cocoon:	731	
Grill Express:	478	
• Trucks:	173	
• Meat cutting equipment:	466	

Rent450

• Headquarters	200
----------------	-----

- Purchasing 250

Finance costs 920

TOTAL CORPORATE COSTS **13 009**

The controller considers corporate costs to be management costs and thus allocated them to the chains pro rata on the basis of their respective labour costs.

CONCLUSIONS

Given these results, Mr Soudan's position is clear. The figures objectively confirm his managerial intuition: the performance of the Grill Express manager is obviously not as good as that of the other restaurant chain managers. He decides that he will not renew the Grill Express manager's contract and that he will publicly congratulate the "old guard" who more shrewdly managed their chains.

QUESTIONS

- 1. What can be said about the overall results of Western Life?**
- 2. What kind of PMS (performance measurement system) has been designed by the controller? What are the underlying principles of this kind of PMS?**
- 3. How could you apply these principles to improve this PMS?**
- 4. Is this PMS relevant for the analysis/decision considered by Mr Soudan?**
- 5. What type of responsibility centres are we dealing with currently at Western Life?**
- 6. What alternatives do we have to evaluate the performance of the manager? What role does the budget play for the analysis/decision considered by Mr Soudan?**
- 7. What are the principles of the PMS that inform this type of decision and how can you apply them here?**
- 8. Would this affect Mr Soudan's conclusions?**